Vivad se Vishwas I - Special Relief Scheme for MSMEs in Government Contracts

Issuing Authority: Department of Expenditure, Ministry of Finance, Govt. of India

1. Background and Pandemic Relief Purpose

Launched by the Department of Expenditure, Ministry of Finance, the Vivad se Vishwas I scheme provides extensive financial relief to Micro, Small, and Medium Enterprises that suffered operational disruption in executing government contracts with Central Ministries, Departments, and Central Public Sector Enterprises (CPSEs).

2. Refund of Liquidated Damages and Performance Securities

Under the scheme, government procuring entities must refund:

• 95% of the deducted Liquidated Damages (LD) for delayed supply or project execution.

• 95% of the forfeited Performance Security / Security Deposit.

• 95% of the forfeited Bid Security (EMD).

• De-listing of MSMEs debarred solely due to contractual failure during the relief period.

3. Scope and Eligible Government Entities

The scheme applies to all contracts across Central Ministries, attached offices, autonomous bodies, public sector banks, financial institutions, and CPSEs (including Railways, Defence, and Power undertakings).

4. Simplified Online Claims through GeM Portal

Eligible MSMEs submit claims seamlessly through the Government e-Marketplace (GeM) portal (gem.gov.in) with basic contract details. Verification and release of refunded funds to the contractor's bank account are completed within 30 days.